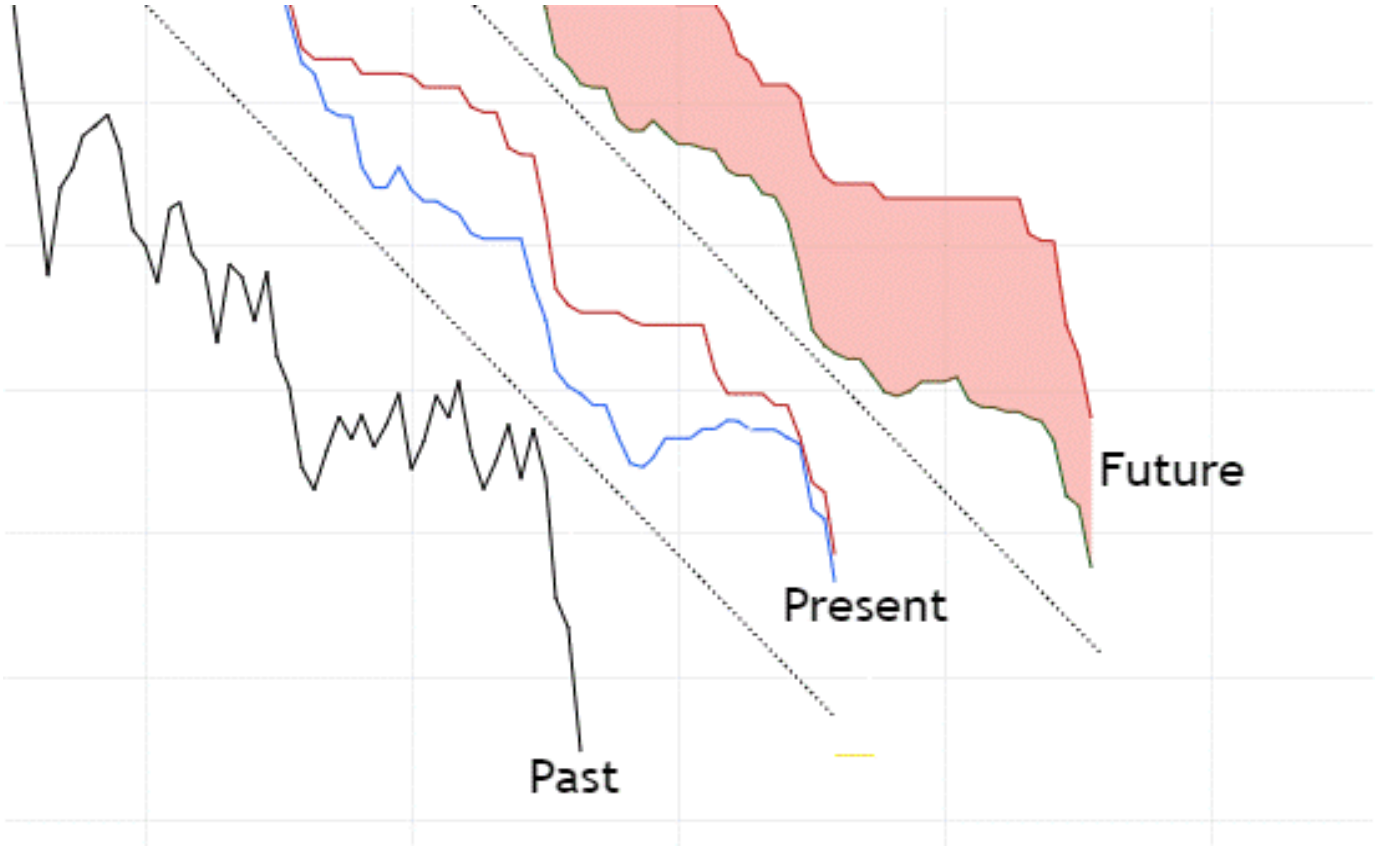
In this lesson, you will learn the six components of the Ichimoku along with the alerts and signals that are generated from these curves.

# The 5 Curves

The Ichimoku trading indicator is a technical analysis tool that is used to identify trends, support and resisance levels, and momentum in fnancial markets. Developed by Goichi Hosoda, a Japanese journalis, in the late 1930s, the Ichimoku indicator has gained popularity among traders due to its ability to provide a comprehensive view of the market. The Ichimoku utilizes 5 lines that allows you to analyze the pas with current price conditions, and see the future trend that clearly identifes when a trend is diminishing, when a new trend is emerging and the direction of that trend.

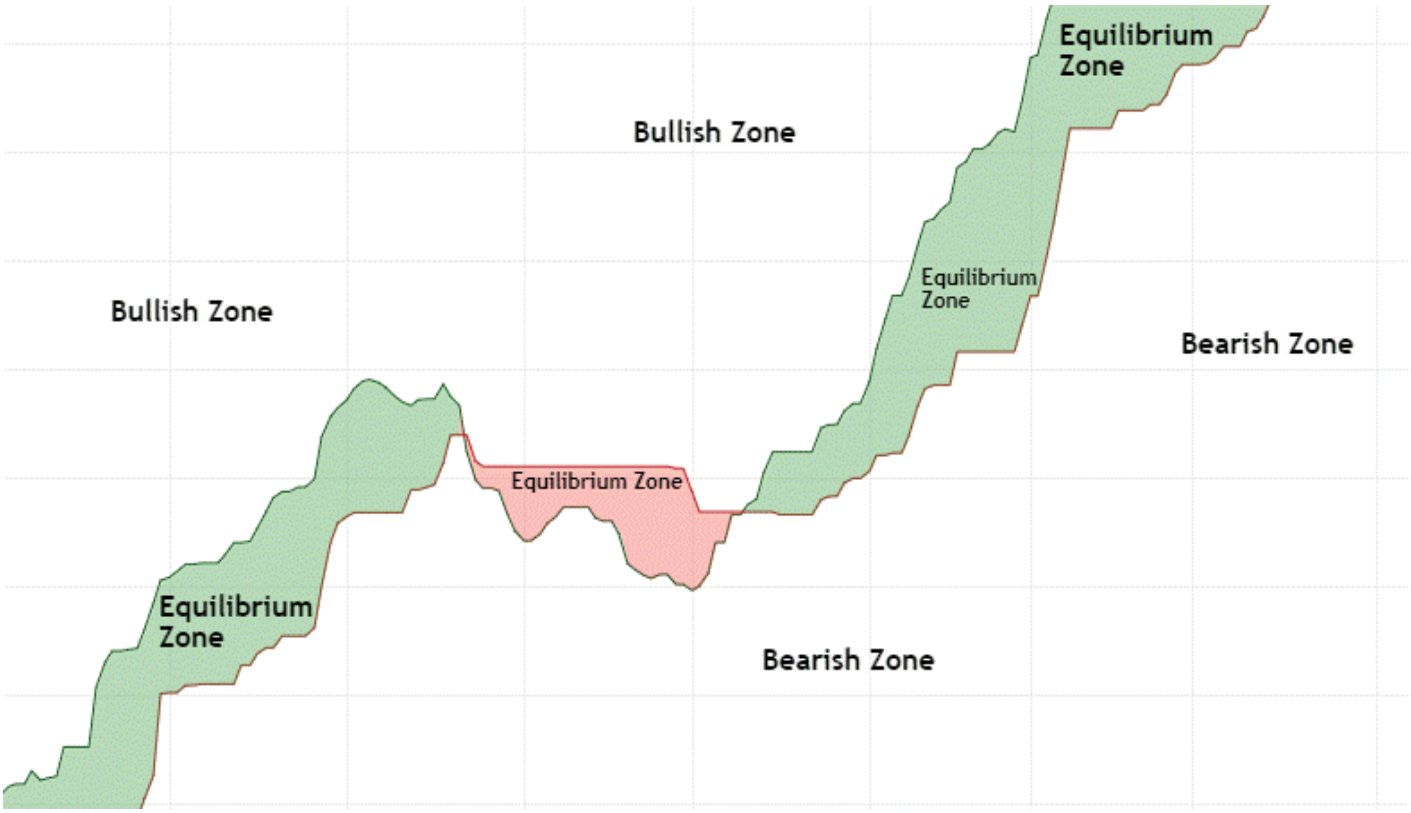



1. **Tenkan-Sen (Conversion Line):** This is a moving average of the highes high and lowes low over the las 9 periods. It is used to identify short-term support and resisance levels.
2. **Kijun-Sen (Base Line):** This is a moving average of the highes high and lowes low over the las 26 periods. It is used to identify medium-term support and resisance levels.
3. **Senkou Span A (Leading Span A):** This is the average of the Tenkan-Sen and Kijun-Sen, plotted 26 periods ahead. It acts as the frs level of support or resisance in the market.
4. **Senkou Span B (Leading Span B):** This is the average of the highes high and lowes low over the las 52 periods, plotted 26 periods ahead. It acts as the second level of support or resisance in the market.
5. **Chikou Span (Lagging Span):** The lagging span is the current closing price of the asset, plotted 26 periods in the pas. It is used to confrm signals provided by other indicators.

# The Cloud and its projection

The conversion & base line form a group of indicators that are projections of the cloud on the lower time frames. The conversion line is the quickes and mos frequent indicator that interacts with price action. The conversion line is also the weakes indicator in terms of support and resisance. The base line is used as a price target in short term price movements and used as a trailing sop when price is on the fall or rise when the trend is shifting.

The cloud, also known as the Kumo, is formed by the area between the leading span A & B. It is used to identify areas of potential support and resisance and to determine the overall trend direction. They are also projections of the conversion & base line on the higher time frames. The Cloud (Kumo) reacts late compared to the conversion & base line. A bullish trend is indicated when the leading span A is above the leading span B and the cloud is green, while a bearish trend is indicated when the leading span B is above the leading span A and the cloud is red.




**The green & red clouds represent an equilibrium zone between buyers and sellers.** The top section of the chart represents a bullish sentiment, and the bottom section represents a bearish sentiment. The cloud is a trend-tracking indicator that creates future areas of support and resisance.

**Span A & Span B form the borders of the cloud (Kumo) that defne areas of support & resisance.** The green cloud defnes an area of support when price is trending above it. The red cloud defnes an area of resisance when price is trending below it.

A change in a trends direction is preceded by a cloud twis from red to green for a bullish sentiment or green to red for a bearish sentiment. The slope of the clouds determines the intensity of a shifting trend.

A steep slope of the cloud (kumo) suggest the trend has excellent momentum, while a gradual slope suggest the trend is neutral. A cloud with no slope, a cloud moving sideways, suggest the market is ranging.

The thickness of the cloud represents the pas & current volatility in price. A high volatility will produce a thick cloud that represents a strong trend. A low volatility cloud will produce a thin cloud that represents a fragile/weak trend.
Depending on the underlying trend, price is either rejected by the cloud or breaks through the cloud when trying to cross it. A diminishing cloud is a signal that the current trend is ending and a new trend is underway. The thickness of the cloud will either block access or slow down the price movement.




During an upside breakout through equilibrium, the demand is stronger than supply pushing price to higher highs; giving buyers control of the market. When the price is trending above the cloud, the top of the cloud (leading span A) represents the first area of support and the bottom of the cloud (leading span B) is the second area of support.

On the contrary, when there is a downside breakout through equilibrium, the supply is stronger than demand pushing price to lower lows. When the price is trending below the cloud, the bottom of the cloud (leading span A) represents the first area of resistance and the top of the cloud (leading span B) is the second area of resistance.

Traders often look for price movements that cross the cloud as potential buy or sell signals. A price movement above the cloud is considered bullish, while a movement below the cloud is considered bearish. Price movements within the cloud are considered neutral. **Hence, the break of the cloud (Kumo) by the price sends a strong signal that shows its the right time to make a trade.**

# Trading Signals

The Ichimoku indicator can be used to identify potential buy and sell signals, support and resistance levels, and trend changes in the market. The Ichimoku trading indicator generates trading signals by analyzing the interaction between its components. **The two primary components used for generating trading signals are the Tenkan-Sen and Kijun-Sen lines.**

The strength of the signal depends on the slope of the lines and the degree of separation between them. A strong bullish signal occurs when the Tenkan-Sen line crosses above the Kijun-Sen line with a steep paralleled slope and has a wide separation between the two lines. On the other hand, a weak bullish signal occurs when the Tenkan-Sen line crosses above the Kijun-Sen line with a shallow slope and a narrow separation between the two lines.

Similarly, a strong bearish signal occurs when the Tenkan-Sen line crosses below the Kijun-Sen line with a steep paralleled slope and has a wide separation between the two lines. A weak bearish signal occurs when the Tenkan-Sen line crosses below the Kijun-Sen line with a shallow slope and a narrow separation between the two lines.

During an uptrend or downtrend, the wide separation between the Conversion line & the Base line price indicates that price will make a pullback. The retracement is underway especially, when the base line has flattened out and remained at the same value for several periods.

**The location where these signals emerge play a major role to the strength of the signals generated.** Here are some Alerts and Signals to pay attention to:

| Indicators | Bullish Alerts | Bearish Alerts |
|---|---|---|
| **Conversion Line** | When the Price crosses above the Conversion Line | When the Price crosses below the Conversion Line |
| **Base Line** | When the Price crosses above the Base Line | When the Price crosses below the Base Line |
| **Conversion/Base Line Cross** | When the Conversion line crosses above the Base Line | When the Base line crosses above the Conversion Line |
| **Leading Span Cross** | When Leading Span A crosses above Leading Span B | When Leading Span B crosses above Leading Span A |
| **Lagging Span** | When the lagging span crosses above the Price the previous 26th periods | When the lagging span crosses below the Price the previous 26th periods |
| **Cloud:** The trend is in equilibrium when price is inside the cloud | The trend is bullish when price is above the cloud | The trend is bearish when price is below the cloud |

An alert is a trigger that requires close market surveillance. An alert is weak and will require other signals to be generated in order to make a purchase.

| Buy Signals | Sell Signals |
|---|---|
| The Candlesticks are above the cloud | The Candlesticks are below the cloud |
| The Lagging Span crosses above the Price | The Lagging Span crosses below the Price |
| The Conversion line crosses above the Base line | The Conversion line crosses below the Base line |
| The Price crosses above the Base line | The Price crosses below the Base line |
| The Price crosses above the Leading Span A | The Price crosses below the Leading Span A |
| The Price crosses above the Cloud | The Price crosses below the Cloud |
| The Lagging Span crosses above the Cloud | The Lagging Span crosses below the Cloud |

The Conversion Line/Base Line Cross Signal: The conversion line and base line together form a group of indicators that provide information about market momentum and trend direction. When the Conversion line crosses above the Base line, it generates a bullish signal, indicating that the price is likely to rise. Conversely, when
the Conversion crosses below the Base, it generates a bearish signal, indicating that the price is likely to fall. This is a signal of intermediate quality and must be supported by other signals generated by Price or Ichimoku.

**The Base Line Cross Signal:** When the price crosses above the Kijun-Sen, it generates a bullish signal, indicating that the price is likely to rise. Conversely, when the price crosses below the Kijun-Sen, it generates a bearish signal, indicating that the price is likely to fall.

**The Cloud Breakout Signal:** The leading span A & B are calculated as the average of the conversion line and base line over the previous 52 periods, shifted forward 26 periods and plotted 26 periods in the future. They are used to identify potential areas of support and resistance. When price crosses the cloud from bottom to top, it generate a bullish signal. When price crosses the cloud from the top to bottom, it generates a bearish signal. This strategy is based on the search for the long term reversal

**The Lagging Span/Price Cross Signal:** If the Lagging span is above the price of the 26th period then the signal is bullish. If the Lagging span is below the price of the 26th period then the signal is bearish.

**Support and Resistance Levels:** The Senkou Span A and Senkou Span B act as support and resistance levels in the market. If the price is above the Senkou Span, it indicates that the market is in an uptrend and the Senkou Span acts as a support level. If the price is below the Senkou Span, it indicates that the market is in a downtrend and the Senkou Span acts as a resistance level.

**Trend Direction:** The Chikou Span can be used to confirm the direction of the trend. Using the vertical line test; if the Chikou Span is above the price, it indicates that the trend is bullish. Conversely, if the Chikou Span is below the price, it indicates that the trend is bearish.

# Set Up #1: Trending with the Cloud

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The Ichimoku Cloud indicator and the Fibonacci are versatile tools that can be used to identify trends and potential trading opportunities. Here is a simple trading setup that uses the Cloud & Fibonacci to identify potential retracement levels.

**Timeframe:** This strategy can be applied to any timeframe, but it's important to adjust parameters based on the timeframe you choose.

Ichimoku Cloud with default parameters (9, 26, 52).

1. **Identify the trend:** First, you need to identify the direction of the trend. You can use the Cloud to do this. When the price is above the Cloud, it indicates an uptrend. When the price is below the Cloud, it indicates a downtrend.
2. **Identify potential retracement levels:** Next, you need to identify potential retracement levels using Fibonacci retracement tool. Identify swing highs and lows in the direction of the trend and run your Fibs to identify retracement levels.
3. **Look for the first alert:** The first alert to look for is when price interacts with the Conversion line. If the price is rejected by the Conversion line and continues in the direction of the trend, it indicates strong momentum so be ready to enter at the rejection of price. However, if the price prints or closes above the Conversion line, it suggests a potential pullback. (Above, if price is trending bearish, and below, if price is trending bullish)
4. **Look for a hidden supply or demand zone:** If the price prints or closes above the Conversion line, be ready to enter at the hidden supply or demand zone identified by the Fibonacci retracement tool. The Golden zone is always located between the 0.50 and 0.618 level. The leading span A or Base line can also be used to highlight potential entry area's of price rejection.
5. **Observe price action for confirmation:** Before entering a trade, observe the price action for confirmation of the current trend. Look for signs that the trend is continuing, such as bullish or bearish candles, or a break above or below a key resistance or support level.
6. **Enter your position:** Once you have confirmed the current trend and identified a potential entry point, enter your position with a stop loss below the most recent swing low (for a long trade) or above the most recent swing high (for a short trade) with proper position sizing.

## Set Up #2: Breaking into the Cloud

Divergence and trend lines are great techniques for identifying trend reversals: market tops & bottoms. When price is about to start a reversal a market top or bottom emerges. This is evident when bullish or bearish divergences arises.

This set-up is triggered with price crosses below or above the base line. The Ichimoku trading indicator is a powerful technical analysis tool that can help traders identify potential trading signals, support and resistance levels, and trend changes in the market. By using the components of the Ichimoku indicator, traders can gain a comprehensive view of the market and make more informed trading decisions.

**Timeframe:** This strategy can be applied to any timeframe, but it's important to adjust parameters based on the timeframe you choose.

*Ichimoku Cloud with default parameters (9, 26, 52)*

**Conditions for Entering Long (Buy) Trades:**

1. **Conversion Line (Tenkan-sen) > Base Line (Kijun-sen):** This indicates short-term bullish momentum.
2. **Price is above the Kumo (Cloud):** Indicates an overall bullish trend.
3. **Lagging Span (Chikou Span) is above the price from 26 periods ago:** Confirms that the current price is above the historical price, supporting the bullish signal.

**Entry Signal for Long Trades:**

- Enter a long trade when the current candle closes above the Kumo (Cloud) / Lagging Span B or Base Line for a quicker entry.

**Conditions for Entering Short (Sell) Trades:**

1. **Conversion Line (Tenkan-sen) < Base Line (Kijun-sen):** This indicates short-term bearish momentum.
2. **Price is below the Kumo (Cloud):** Indicates an overall bearish trend.
3. **Lagging Span (Chikou Span) is below the price from 26 periods ago:** Confirms that the current price is below the historical price, supporting the bearish signal.

**Entry Signal for Short Trades:**

- Enter a short trade when the current candle closes below the Kumo (Cloud) / Lagging Span B or Base Line for a quicker entry.

**Risk Management:**

1. Stop-Loss: Place a stop-loss order below the low of the breakout candle for long trades and above the high of the breakout candle for short trades.
2. Take-Profit: Set a take-profit level based on historical support/resistance levels or a risk-reward ratio of your choice.

**Additional Considerations:**

**Confirm Signals with Candlestick patterns:** Consider using other technical indicators or chart patterns to confirm signals generated by the Ichimoku Cloud.

**Bullish Confirmation:**

- Bullish Engulfing Pattern: Look for a bullish engulfing pattern forming after a bullish crossover above the cloud. This pattern occurs when a large bullish candle completely engulfs the previous bearish candle, signaling a potential reversal to the upside.
- Hammer or Bullish Pin Bar: These candlestick patterns indicate potential bullish reversals. A hammer has a small body and a long lower shadow, while a bullish pin bar has a small body and a long upper shadow. These patterns suggest that buyers are gaining control.

**Bearish Confirmation:**

- Bearish Engulfing Pattern: Watch for a bearish engulfing pattern forming after a bearish crossover below the cloud. This pattern occurs when a large bearish candle completely engulfs the previous bullish candle, signaling a potential reversal to the downside.
- Shooting Star or Bearish Pin Bar: These candlestick patterns indicate potential bearish reversals. A

shooting star has a small body and a long upper shadow, while a bearish pin bar has a small body and a long lower shadow. These patterns suggest that sellers are gaining control.

**Confirmation with Multiple Candlesticks:**

- Consider waiting for a confirmation through multiple consecutive bullish or bearish candles that align with the direction indicated by the Ichimoku Cloud. This can help filter out false signals and increase the probability of a successful trade.

**Use Candlestick Patterns as Entry/Exit Signals:**

- Use the confirmation from candlestick patterns as an additional factor for entry or exit. For example, if you receive a bullish Ichimoku Cloud signal, wait for a bullish candlestick pattern before entering the trade. Conversely, if you receive a bearish signal, wait for a bearish candlestick pattern before entering a short trade.

**Beware of False Signals:**

- While candlestick patterns can provide confirmation, it's essential to be aware of false signals. Not every pattern will result in a significant price move, so consider the overall market context and use candlestick patterns in conjunction with Ichimoku for a more comprehensive analysis.

**Monitor Market News:** Stay informed about market news and events that may impact the asset you are trading.